

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$4.83 ▼ 5.48%	12M Price Target \$5.25	52-Week Range \$3.01 – \$9.39	Market Cap \$2.31B
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BBAI: Reiterate Hold After 57% Rally Cools; Cramer Cautions Speculation

WHAT'S CHANGED

- BBAI -5.48% to \$4.83 on 49.2M shares, snapping a 3-day advance after touching \$5.34 intraday 6/1; stock now sits at just 29% of its 52-week range despite a ~57% run flagged by GuruFocus.
- Cramer's "can't recommend it... speculate if you want" comment (6/1) and Simply Wall St's note framing the PTG cargo-security deal as a "test" of the growth story added skepticism into a crowded retail tape.

IMPLICATIONS

The pullback reflects classic post-parabolic exhaustion rather than fundamental deterioration — options flow remains decisively bullish (0.29 P/C, ~3.5x call skew) and there are no new SEC disclosures or insider sales beyond the prior CFO/Director dispositions. However, with Cramer publicly framing BBAI as speculative and Industrials -0.08%/-0.14% offering no sector tailwind, the burden shifts to execution on the PTG cargo deal and visible defense bookings to sustain the re-rating. The setup favors disciplined entries on pullbacks rather than chasing strength near range highs.

VALUATION

At \$2.31B market cap on ~\$195M FY26E revenue, BBAI trades at ~11.8x EV/Revenue — a premium to defense-IT peers (4-6x) and only justified versus pure-play AI infra comps (PLTR ~25x) if growth reaccelerates above 25%. Our \$5.25 base PT implies ~9% upside and assumes ~10x FY27E sales fading toward government-services norms; bull case to \$7.50 requires PTG-style commercial wins compounding into a recognized dual-use franchise. Multiple contraction risk dominates if any equity raise emerges given the cash burn profile.

KEY RISKS

- Equity dilution risk — historical pattern of ATM issuance into strength following parabolic moves.
- Customer concentration in DoD/IC budgets exposes revenue cadence to continuing-resolution and appropriations delays.
- Multiple compression if commercial traction (PTG, cargo security) fails to convert to recurring SaaS-like revenue within 2-3 quarters.

RECENT NEWS

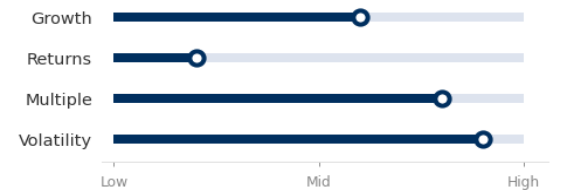
Profitless Tech Surges 57% As Wall Street Signals Caution GuruFocus.com · 2026-06-01 18:21

Jim Cramer on BigBear.ai: “Can’t Recommend It, But If You Want to Speculate on It, That’s ... Insider Monkey · 2026-06-01 17:54

Key Data

Price (USD)	\$4.83
12M Price Target	\$5.25
Upside / (Downside)	+8.7%
Market Cap	\$2.31B
FY2026E Revenue	\$195M
FY2027E Revenue	\$245M
FY2026E EPS	(\$0.42)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$6.00	\$4.90	\$3.80
6 Months	\$7.50	\$5.25	\$3.40
1 Year	\$9.50	\$5.75	\$3.00
2 Years	\$12.00	\$7.00	\$2.50
5 Years	\$18.00	\$9.00	\$2.00
10 Years	\$30.00	\$12.00	\$1.50

SECTOR INTELLIGENCE

HOT SECTORS: Energy (+3.02% 5D), Materials (+0.88% 5D)

COLD SECTORS: Consumer Staples (-2.86% 5D), Real Estate (-2.51% 5D)

ROTATION WATCH: Capital is rotating toward hard-asset/cyclical exposure (Energy, Materials) and away from rate-sensitive defensives — a mixed read for unprofitable AI as it suggests risk-on but not duration-friendly.

BYPRODUCT PLAY: Defense-AI primes (PLTR, AVAV) and mission-software mid-caps (RKLB, KTOS) continue to benefit from FY27 budget tailwinds; BBAI is the highest-beta proxy but lowest-quality margin profile in the basket.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): Continues to set the AI-defense narrative with GAAP profitability and >25% commercial growth — sets the bar BBAI is measured against.
- AVAV (AeroVironment): Defense autonomy leader trading on backlog visibility and DoD program wins, profitable and growing 20%+.

BBAI CONTEXT: BBAI is participating in the AI-defense theme but lagging on quality metrics — the +57% rally per GuruFocus marks momentum catch-up, not fundamental convergence. Relative performance remains tape-driven rather than earnings-driven.

INVESTMENT STRATEGY

4/10 Conviction Score

Position Size: 1-2% speculative sleeve

Entry Points: \$3.80-4.20 on retest of breakout base

Time Horizon: 12-18 months

Thesis Invalidation: Two consecutive quarters of <15% YoY revenue growth or material equity raise >10% dilution

Hedging: Pair long BBAI vs short PLTR or covered-call overwrite at \$6 strike